

budget would for a competitor with a very much smaller output. For reasons such as these, this particular company has strong inherent forces tending to protect profit margins. However, to present a complete picture, we must note some influences working in the opposite direction. When Campbell's own costs rise, as they can do sharply in an inflationary period, prices to the consumer cannot be raised more than the average of other foods or there could be a shift in demand away from soups to other staples. Far more important, Campbell has a major competitor that most companies do not have to contend with and that, as rising production costs cause higher prices to the consumer, can cut significantly into Campbell's market. This is the American housewife fighting her battle of the budget by making soup in her own kitchen. This point is mentioned merely to show that even when scale affords huge competitive advantages and a company is well run, these characteristics, important as they are, do not, of themselves, assure extreme profitability.

Scale is by no means the only investment factor tending to perpetuate the much greater profitability and investment appeal of some companies over others. Another which we believe is of particular interest is the difficulty of competing with a highly successful, established producer in a technological area where the technology depends on not one scientific discipline but the interplay of two or preferably several quite different disciplines. To explain what I mean, let us suppose that someone develops an electronic product that promises to open up sizable new markets in either the computer or instrument field. There are enough highly capable companies in both areas that have in-house experts able to duplicate both the electronic hardware and the software programming that such products require so that if the new market appears large enough, sufficient competition may soon develop to make the profits of the smaller innovator rather tenuous. In areas such as these, the successful large company has a further built-in advantage. Many such lines cannot be sold unless a network of service people is available to make rapid repair at the customers' locations. The large established company usually has such an organization in being. It is extremely difficult and expensive for a small new company introducing a worthwhile new product to establish such a network. It may be even harder for the new company to convince a potential buyer that it has the financial staying power not only to have the service network in place when the sale is made but to keep it there in the future. Furthermore, while all these influences